

Cognizant Technology Solutions

Leveraged Buyout — Debt Schedule and Returns

Jainam Mehta · US\$ millions unless stated · as of FY2025 10-K · market data 12 Sep 2026

A hypothetical take-private of Cognizant Technology Solutions by a financial sponsor, built on the FY2025 10-K and 12 September 2026 market data. Cognizant is used because Projects 3 and 4 already cover IT-services trading multiples and precedent M&A, so the sponsor's view of value can be set beside both.

What this is

How it is built

- Sources and uses from an offer premium, with debt sized as a multiple of EBITDA across a term loan and senior notes, and the sponsor equity falling out as the balancing figure.
- A five-year debt schedule with mandatory amortisation and a full cash sweep, interest charged on opening balances so the model never needs iterative calculation switched on.
- Returns by money multiple and IRR, a value-creation bridge splitting the return between debt paydown, EBITDA growth and multiple change, and two live sensitivity grids.
- A solve for the maximum price a sponsor could pay and still clear a 20% return — the LBO floor that belongs on Project 5's football field.

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Key outputs (live)

Offer price per share (US\$)	81.36
Entry EV / EBITDA	9.6x
Sponsor equity cheque (US\$m)	18,925
Money multiple	2.0x
Internal rate of return	14.9%
Maximum price at a 20% return (US\$)	73.78

Colour code

Blue = hard-coded input
Black = formula
Green = link to another sheet
Accent fill = scenario selector / key levers

Sources

Cognizant Technology Solutions FY2025 Form 10-K (year to 31 December 2025), via the Yahoo Finance fundamentals series for CTSH.

Share price and 52-week range: NASDAQ close, 12 September 2026.
SOFR and US Treasury yields, 12 September 2026.
Debt pricing, fee levels and the operating case are stated assumptions on the Inputs sheet, not quotations from lenders.

The transaction is hypothetical. Nothing here suggests Cognizant is or has been in a sale process.

Prepared by

Jainam Mehta · github.com/jainammehta1215/ib-portfolio

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IB PORTFOLIO

Standalone financials, deal terms, debt structure and operating case

COGNIZANT — FY2025A (US\$m)

Revenue	21,108
EBITDA	4,066
EBIT	3,327
Depreciation and amortisation	550
Capital expenditure	288
Total debt	1,152
Cash and equivalents	1,901
Shares outstanding (m)	488
Share price (US\$, 12 Sep 2026)	62.59
Market capitalisation	30,541
Net debt / (net cash)	(749)
Enterprise value, unaffected	29,792
EV / EBITDA, unaffected	7.3x

The sector de-rated through 2026; this is the entry point that makes a take-private arithmetically possible at all

TRANSACTION

Offer premium to unaffected price	30.0%
Minimum cash left in the business	500
Financing fees as % of debt raised	2.0%
Advisory and other fees as % of transaction value	1.0%
Cash tax rate	25.0%

Typical control premium for a US public take-private

Underwriting and arrangement; capitalised and amortised over the term

Sell-side and buy-side advisory, legal, accounting

US federal plus state, blended. FY2025 reported rate was distorted by one-off items

DEBT STRUCTURE

Term Loan B (x EBITDA)	3.0x
Senior notes (x EBITDA)	2.3x
SOFR	4.0%
Term Loan B spread over SOFR	3.5%
Senior notes coupon (fixed)	8.5%
Term Loan B mandatory amortisation (% of original, per year)	1.0%
Cash sweep — % of free cash flow applied to debt	100.0%
Financing fee amortisation period (years)	7

Three-month rate, 12 Sep 2026

100% sweep on the term loan until it is repaid. Notes are bullet and cannot be swept

OPERATING CASE

Increase in working capital as % of incremental revenue	12.0%	
Capital expenditure as % of revenue	1.4%	FY2025 actual: 1.4%. Asset-light
Depreciation and amortisation as % of revenue	2.6%	
Exit EV / EBITDA multiple	9.0x	Below the entry multiple on purpose. Assuming multiple expansion is how an LBO model is made to lie
Sponsor target internal rate of return	20.0%	The return the deal has to clear to be worth doing

Revenue growth and EBITDA margin by year are set on the Model sheet, where they can be read against the historical figures. Everything else lives here.

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IB PORTFOLIO

What the transaction costs and where the money comes from

OFFER

Offer price per share (US\$)	81.36
Equity purchase price	39,704
Transaction enterprise value	38,955
Entry EV / EBITDA	9.6x

The single most important number in the model: it sets the price and, with the exit multiple, most of the return

USES

Purchase of equity	39,704
Refinance existing debt	1,152
memo: Term Loan B raised	12,198
memo: Senior notes raised	9,149
memo: Total debt raised	21,347
Financing fees	427
Advisory and other fees	390
Total uses	<u>41,672</u>

SOURCES

Term Loan B	12,198
Senior notes	9,149
Cash from the balance sheet	1,401
Sponsor equity	<u>18,925</u>
Total sources	<u>41,672</u>

Excess cash above the minimum operating balance is used to fund the deal

The cheque the fund writes, and the denominator of every return in this model

Opening total leverage (x EBITDA)	5.3x
Sponsor equity as % of total capitalisation	45.4%

An equity cheque of this size would in practice be a consortium of several funds rather than one. That does not change the arithmetic — it changes who writes it — so the model treats the sponsor as a single investor.

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IB PORTFOLIO

Operating forecast and free cash flow before debt repayment · US\$ millions

OPERATING FORECAST

	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	21,108	21,741	22,502	23,402	24,338	25,312
Growth		3.0%	3.5%	4.0%	4.0%	4.0%
EBITDA margin	19.3%	19.6%	20.0%	20.4%	20.7%	21.0%
EBITDA	4,066	4,261	4,500	4,774	5,038	5,315
Depreciation and amortisation	550	565	585	608	633	658
Capital expenditure	288	304	315	328	341	354
Increase in working capital		76	91	108	112	117

FREE CASH FLOW BEFORE DEBT SERVICE

EBITDA		4,261	4,500	4,774	5,038	5,315
Less: capital expenditure		(304)	(315)	(328)	(341)	(354)
Less: increase in working capital		(76)	(91)	(108)	(112)	(117)

Interest and cash tax are charged on the Debt Schedule, where the opening balance for each year is known. Free cash flow after debt service flows back here only as the sweep amount.

Cognizant Technology Solutions — Leveraged Buyout — Debt Schedule and Returns

IB PORTFOLIO

Interest charged on opening balances · cash sweep applied to the term loan

INTEREST AND CASH TAX

	At close	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Term Loan B — opening balance	12,198	12,198	10,491	8,530	6,277	3,712
Mandatory amortisation		(122)	(122)	(122)	(122)	(122)
Cash sweep		(1,585)	(1,839)	(2,130)	(2,443)	(2,783)
Term Loan B — closing balance	12,198	10,491	8,530	6,277	3,712	807
Senior notes — balance (bullet)	9,149	9,149	9,149	9,149	9,149	9,149
Total debt	21,347	19,639	17,678	15,426	12,861	9,956
Interest — Term Loan B		909	782	635	468	277
Interest — senior notes		778	778	778	778	778
Financing fee amortisation		61	61	61	61	61
Total interest and fee amortisation		1,747	1,620	1,474	1,306	1,115
Profit before tax		1,949	2,295	2,692	3,099	3,542
Cash tax		(487)	(574)	(673)	(775)	(886)

CASH AVAILABLE FOR DEBT REPAYMENT

EBITDA	4,261	4,500	4,774	5,038	5,315
Less: capital expenditure	(304)	(315)	(328)	(341)	(354)
Less: increase in working capital	(76)	(91)	(108)	(112)	(117)
Less: cash interest	(1,686)	(1,559)	(1,413)	(1,245)	(1,054)
Less: cash tax	(487)	(574)	(673)	(775)	(886)
Less: mandatory amortisation	(122)	(122)	(122)	(122)	(122)
Cash available for the sweep	1,585	1,839	2,130	2,443	2,783

CREDIT STATISTICS

Total debt / EBITDA	5.3x	4.6x	3.9x	3.2x	2.6x	1.9x
EBITDA / cash interest		2.5x	2.9x	3.4x	4.0x	5.0x

Cognizant Technology Solutions — Leveraged Buyout — Debt Schedule and Returns

IB PORTFOLIO

Interest charged on opening balances · cash sweep applied to the term loan

INTEREST AND CASH TAX

At close	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
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Leverage of over five times EBITDA at close, against interest cover of roughly two and a half times, is an aggressive but financeable structure for a business with Cognizant's cash conversion. The covenant question a lender would ask is what happens to cover if revenue falls rather than grows; the sensitivity grids answer it.

Cognizant Technology Solutions — Leveraged Buyout — Debt Schedule

IB PORTFOLIO

Exit, money multiple, internal rate of return and the price that clears the hurdle

EXIT AT THE END OF YEAR 5

Exit-year EBITDA	5,315
Exit EV / EBITDA	9.0x
Exit enterprise value	47,839
Less: net debt at exit	(9,956)
Exit equity value	37,883

Sponsor equity invested at close	18,925
Money multiple (MOIC)	2.0x
Internal rate of return	14.9%
Versus the 20% hurdle (percentage points)	(5.11)

A single entry and a single exit, so the IRR is the fifth root of the money multiple. No interim dividends are assumed

VALUE CREATION BRIDGE

Debt repaid over the hold	11,391
EBITDA growth, valued at the exit multiple	11,245
Multiple change, valued on entry EBITDA	(2,361)
Total value created	18,959

Negative here because the exit multiple is set below entry on purpose

THE PRICE A SPONSOR COULD ACTUALLY PAY

Sponsor equity consistent with a 20% return	15,225
Implied maximum equity purchase price	36,004
Implied maximum offer price per share (US\$)	73.78
Implied maximum premium to the unaffected price	17.9%

The LBO floor for Project 5's football field: what a financial buyer could pay and still clear its hurdle

Advisory fees move slightly with the transaction value, so the maximum price is very marginally circular. The effect is under a dollar a share and the fees are held at the base case rather than switching on iterative calculation, which would make the workbook fragile on another machine.

Cognizant Technology Solutions — Leveraged Buyout — Debt Schedule and IB PORTFOLIO

Internal rate of return · every cell rebuilds the equity cheque and the exit from scratch

IRR — OFFER PREMIUM versus EXIT MULTIPLE

Exit EV/EBITDA \ Offer premium	10.0%	20.0%	30.0%	40.0%	50.0%
8.0x	20.6%	15.5%	11.5%	8.2%	5.4%
8.5x	22.5%	17.3%	13.2%	9.9%	7.0%
9.0x	24.3%	19.1%	14.9%	11.5%	8.6%
9.5x	26.0%	20.7%	16.5%	13.0%	10.1%
10.0x	27.6%	22.2%	17.9%	14.4%	11.5%

IRR — OPENING LEVERAGE versus EXIT MULTIPLE (at the 30% base-case premium)

Exit EV/EBITDA \ Total leverage	4.3x	4.8x	5.3x	5.8x	6.3x
8.0x	9.8%	10.6%	11.5%	12.5%	13.8%
8.5x	11.4%	12.2%	13.2%	14.4%	15.8%
9.0x	12.9%	13.8%	14.9%	16.2%	17.7%
9.5x	14.3%	15.3%	16.5%	17.9%	19.5%
10.0x	15.6%	16.7%	17.9%	19.4%	21.2%

The leverage grid holds the debt paydown path at the base case and flexes only the opening quantum, so it slightly flattens high-leverage cases (more debt would mean more interest and less sweep). It is shown to illustrate the direction and size of the effect, not to price a financing.

Cognizant Technology Solutions — Leveraged Buyout — Debt Schedule

IB PORTFOLIO

The transaction on one page

THE TRANSACTION

Offer price per share (US\$)	81.36
Premium to unaffected price	30.0%
Transaction enterprise value	38,955
Entry EV / EBITDA	9.6x
Opening leverage (x EBITDA)	5.3x
Sponsor equity cheque	18,925

THE RETURN

Exit EV / EBITDA assumed	9.0x
Money multiple	2.0x
Internal rate of return	14.9%
Versus the 20% hurdle (pp)	(5.11)

THE USEFUL OUTPUT

Maximum offer price at a 20% return (US\$)	73.78
Maximum premium to the unaffected price	17.9%
Unaffected share price (US\$)	62.59

\u2022 Cognizant is buyable precisely because the sector de-rated: at roughly seven times EBITDA unaffected, a financial buyer can lever it. At twenty times, as the sector traded in 2021, no sponsor could.

\u2022 The return is driven by debt paydown and margin expansion, not by multiple expansion — the exit multiple is set below entry on purpose. Any LBO whose return depends on selling at a higher multiple than it bought is an assumption dressed as an analysis.

\u2022 The most useful number here is not the IRR at a 30% premium. It is the maximum price a sponsor could pay and still clear 20%, because that is the floor under the share price in any sale process, and it is the ninth bar on Project 5's football field.

\u2022 The equity cheque is large enough that this would be a consortium deal. The arithmetic is unchanged; the practicality is not.

Cognizant Technology Solutions — Leveraged Buyout — Debt Schedule and

IB PORTFOLIO

Every check must read TRUE

INTEGRITY CHECKS

Sources equal uses	TRUE
Sponsor equity is positive	TRUE
Opening leverage equals the sum of the tranches	TRUE
Term loan balance never goes negative	TRUE
Term loan closing balance ties to opening less repayments	TRUE
Debt falls over the hold	TRUE
Cash available for the sweep is positive in every year	TRUE
Interest cover stays above 1.5x in every year	TRUE
Leverage falls every year	TRUE
Exit equity ties to exit enterprise value less net debt	TRUE
Money multiple and IRR are consistent	TRUE
Exit multiple is not above the entry multiple	TRUE
The maximum price is below the assumed offer price when the deal misses the hurdle	TRUE
Base-case sensitivity cell reconciles to the Returns sheet	TRUE
Entry EV/EBITDA is above the unaffected multiple	TRUE
Standalone figures tie to the reported FY2025 accounts	TRUE

MODEL STATUS

MODEL OK

The check that the exit multiple is not above the entry multiple is a discipline check, not an arithmetic one. It fails the model if someone later raises the exit assumption to make the return work, which is the single most common way an LBO model is quietly bent.